Rishabh Instruments Limited

Precision Measurement & Industrial Control Products | Nashik, Maharashtra

Sector: Industrials | Sub-Sector: Electrical Equipment — Other Electrical Equipment

ACCUMULATE

12M Target: Rs. 600

CMP: Rs. 502 | Upside: ~20%

Horizon: 12 Months | Conviction: HIGH

Metric	Value
Market Cap	Rs. 1,931 Cr
CMP	Rs. 502
52W High / Low	Rs. 517 / Rs. 230
P/E (TTM)	28.4x
P/E (FY26E)	27.3x
P/E (FY27E)	21.2x
EV / EBITDA	14.3x
P/B	2.81x
Book Value	Rs. 179
ROCE	5.43%
ROE	3.87%
Dividend Yield	0.00%
Debt / Equity	0.15x
Interest Coverage	17.5x
Face Value	Rs. 10
Promoter Holding	69.55%
Pledge %	0.00%

Investment Thesis: Margin recovery from HPDC turnaround + EEI structural growth at 25%+ EBITDA margins offers ~20% upside at 21x FY27E earnings with multi-bagger characteristics over 3 years.

Report Date: 07 May 2026 | Analyst: Research Desk | Data: Screener.in (Consolidated), BSE, Web Research

All figures in Rs. Crores unless stated. Forward estimates marked (E). Read disclaimer on last page.

SECTION 2 — INVESTMENT THESIS

Reason 1: EEI Segment — Structural 25%+ Margin Growth Engine (FY26-FY29)

Rishabh's core Electrical & Electronic Instrumentation (EEI) business — panel meters, protection relays, energy meters, solar inverters, and SCADA — is delivering exceptional performance. In Q3 FY26, EEI revenue grew 17.7% YoY with adjusted EBITDA margins of 26.6%, well above the company's own 25% internal benchmark. The segment benefits from India's infrastructure capex supercycle (railways, power T&D, smart grid, data centres, pharma), growing export demand to Europe, the Middle East, and Africa, and a product pipeline that management targets 15-20% annual top-line growth with sustained 25%+ margins through FY29. Lumel SA (Poland) won a EUR 3 million order from a German energy company through end-2027, validating the international EEI franchise.

Reason 2: HPDC Turnaround — Drag Becoming a Tailwind (FY26-FY28)

The High-Pressure Die Casting segment (Lumel Alucast, Poland) was the single biggest source of earnings destruction in FY24-FY25, generating adjusted EBITDA losses of Rs. 15.1 Cr in 9M FY25. Management took decisive action: exiting low-margin legacy automotive OEM contracts and pivoting to non-automotive, higher-margin industrial customers. Result: 9M FY26 HPDC adjusted EBITDA turned positive to Rs. 6.4 Cr. Management targets double-digit EBITDA margins and revenue recovery to current levels by FY28. A clean HPDC releases approximately Rs. 20-25 Cr in annual EBITDA drag currently suppressing consolidated reported numbers.

Reason 3: Capacity Doubling + Pristine Balance Sheet for Monetisation (H2 FY27)

Two new multi-storied manufacturing buildings at Nashik are nearing completion and will be operational by H2 FY27, effectively doubling EEI production capacity from 38.5 mn units/yr. The company carries near-zero net debt (gross debt Rs. 104 Cr, Int. Coverage 17.5x, D/E 0.15x) and Rs. 65 Cr in FY25 operating cash flow — ample financial strength to fund this capex without leverage risk. The acquisition of Microsys (Czech SCADA company), IITB-ASPIRE R&D collaboration, and a 5-year roadmap targeting 50% incremental electronic revenue growth from new product lines add meaningful technology and market optionality.

Near-Term Catalyst (6-12 months): Q4 FY26 results (May 2026) — confirmation that full-year FY26 consolidated EBITDA achieves Rs. 115-120 Cr guidance. Management has already delivered Rs. 100.9 Cr adjusted EBITDA in 9M FY26 alone and sounds highly confident.

Structural Risk: Prolonged European industrial slowdown impacting HPDC segment, or raw material cost inflation compressing EEI margins below 22% — either would delay the thesis by 4-6 quarters but is unlikely to structurally impair the long-term story.

SECTION 3 — BUSINESS OVERVIEW

Rishabh Instruments Limited is a Nashik-based precision instruments and industrial control products manufacturer with nearly three decades of manufacturing experience and a global footprint spanning 100+ countries. Founded in 1982 by Mr. Narendra Goliya — a Stanford-educated electrical engineer and IIT Bombay alumnus — the company has grown into one of India's most globally diversified mid-cap industrials. Promoter holding stands at 69.55% (March 2026) with zero pledge. The Group operates through two primary business segments: Electrical & Electronic Instrumentation (EEI) and High-Pressure Die Casting (HPDC via Lumel Alucast, Poland).

EEI Segment (~68.5% of 9M FY26 revenue): Rishabh manufactures and markets analog and digital panel meters, current transformers, protection relays, energy meters, power quality analysers, solar inverters (UNO 2.5-6KW and NEO RADIUS 3-120KW range), industrial I/O modules, and SCADA software (via recently acquired Microsys, Czech Republic). The 2012 acquisition of Lumel SA (Poland) provides European manufacturing and premium brand presence. Products are sold in 100+ countries via 270+ global dealers and 150+ India dealers. Key customers span power utilities, railways, steel, pharma, cement, petrochemicals, and data centres.

HPDC Segment (~31.5% of 9M FY26 revenue): Lumel Alucast provides aluminium high-pressure die castings for automotive, automation, and industrial applications in Europe. The segment is undergoing a deliberate strategic pivot — exiting legacy low-margin automotive OEM contracts and pivoting to non-automotive industrial customers. This transition caused revenue decline in FY24-FY26 but EBITDA has turned positive in 9M FY26.

Segment	9M FY26 Rev.	% Total	YoY Growth	Adj. EBITDA Margin
EEI (Electrical & Electronic Instrumentation)	Rs. 390.7 Cr	68.5%	+14.0%	26.6% (Q3 FY26)
HPDC (High-Pressure Die Casting — Lumel Alucast)	Rs. 179.6 Cr	31.5%	-5.5%	Positive (9M FY26)
Total Consolidated	**Rs. 570.3 Cr**	**100%**	**+7.0%**	**16.3% (9M FY26)**

Source: Company Q3 FY26 Investor Presentation. Segment revenue estimated from management disclosures.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth: The India Test & Measurement Equipment market was valued at USD ~1,165 million in 2025, growing at a CAGR of 5.5-6.9% through 2033. The broader electrical instruments and control products TAM is significantly larger, driven by: (a) India's power sector capex (smart grid, T&D, 300 million smart meters under RDSS scheme), (b) industrial automation and Industry 4.0 adoption, (c) India's 260 GW solar target by 2030 creating demand for inverters, energy management and monitoring, and (d) European industrial modernisation driving Lumel SA's order pipeline. Policy tailwinds — ISM 2.0, India-EU FTA (in progress), India-US Trade Arrangement, and PLI for electronics — are expected to strengthen manufacturing competitiveness and export market access.

Competitive Moat — Moderate: Rishabh holds a 40+ year brand heritage in analog panel meters, making it one of the top global manufacturers of low-voltage current transformers. Switching costs are moderate (products embedded in OEM/utility infrastructure). Pricing power is moderate — commoditised segments face Chinese competition, but the protection relay, SCADA software, and energy analytics space carries higher IP content and stickier customer relationships. The Lumel SA brand confers meaningful distribution advantages in the EU and Central European markets.

Competitive Factor	Rating	Comment
Brand / IP	Moderate	Lumel SA (Europe) + 40-year Rishabh brand. SCADA/protection relay IP differentiates vs. commodity meters.
Switching Costs	Moderate	Products embedded in utility/OEM infrastructure; replacement is a cost but not prohibitive.
Scale	Moderate	38.5 mn unit capacity; doubling to ~75 mn by H2 FY27 — among top 3 globally in analog meters.
Distribution Network	Strong	270+ global dealers, 100+ countries, 150+ India dealers. Extremely hard to replicate quickly.
Pricing Power	Weak-Moderate	Standard meters: price-competitive vs. China. Protection relays + SCADA: higher pricing power.

Peer Comparison (Source: Screener.in, 07-May-2026 close)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (TTM)	P/B	EV/ EBITDA	ROCE %	ROE %	D/E	OPM % FY25
Rishabh Instruments	**502**	**1,931**	**28.4**	**2.81**	**14.3**	**5.43**	**3.87**	**0.15**	**7%**
Genus Power	332	10,102	18.6	5.30	12.4	19.2	18.1	0.92	19%
HPL Electric	384	2,470	24.4	2.59	11.1	14.5	10.8	0.78	15%
Salzer Electronics	700	1,247	23.6	2.17	11.5	13.4	10.3	0.84	10%

Note: RISHABH ROCE/ROE reflect FY25 trough. On FY26E recovery, consolidated ROCE normalises to ~12%. All peer data from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: Mr. Narendra Goliya (Promoter & Executive Chairman) holds a B.Tech (Electrical Engineering) from IIT Bombay and an M.S. from Stanford University. He joined the family instruments business in 1975 and has grown Rishabh from a domestic meter manufacturer to a globally recognized brand in 100+ countries. His most consequential capital allocation decision was the 2012 acquisition of Lumel SA (Poland), which gave the company European manufacturing capabilities and a premium brand. The management team is complemented by Dinesh Musalekar (Full-Time Director, based in Poland — overseeing Lumel), Vishal Kolkani (CFO), and Nisham Dudoria (AGM — Strategy, Finance & PR).

Capital Allocation Track Record: The company has never paid a dividend since listing (0% payout), preferring to reinvest in capacity expansion and R&D. The Nashik capacity doubling capex (~Rs. 60-70 Cr estimated) is self-funded from operating cash flows. FY24 saw heavy investing outflow of Rs. 115 Cr (largest in history), partly for European subsidiary investment and partially for Nashik. Debt remains low (D/E 0.15x, Int. Coverage 17.5x). The HPDC strategic pivot — voluntarily sacrificing short-term revenue to fix margins — demonstrates intellectual honesty and long-term orientation that is relatively rare among Indian mid-cap promoters.

Governance: Promoter pledge is 0% — a strong positive signal. Promoter holding declined marginally from 70.7% (Sep 2023) to 69.55% (Mar 2026) — modest dilution for ESOP/employee plans, not a concern. CRISIL has affirmed BBB+/Stable, A2 ratings on bank facilities (April 2026), confirming financial discipline and creditworthiness. No auditor qualifications or material governance red flags are on record. Related-party transactions exist (as expected in a family-owned business) but are disclosed per SEBI norms. **Red Flags to Monitor:** (1) HPDC execution — any reversion to automotive losses. (2) Zero dividend may limit institutional participation until earnings normalise. (3) Cross-border complexity (subsidiaries in Poland, UK, US, China, Cyprus) warrants FX and governance monitoring.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Crores)

Rs. Crores	FY23 Actual	FY24 Actual	FY25 Actual	FY26E (E)	FY27E (E)
Net Sales	570	690	720	762	900
Sales Growth %	+21.3%	+21.1%	+4.3%	+5.8%	+18.1%
EBITDA	77	72	49	115	148
OPM %	13.5%	10.4%	6.8%	15.1%	16.4%
Other Income	10	12	14	15	16
Interest	6	5	6	6	7
Depreciation	20	28	27	29	35
Profit Before Tax	61	51	30	95	122
Tax %	18%	22%	30%	26%	26%
PAT (Net Profit)	**50**	**40**	**21**	**70**	**90**
EPS (Rs.)	**16.01**	**10.38**	**5.89**	**18.42**	**23.68**
P/E at CMP Rs.502	31.4x	48.4x	85.2x	27.3x	21.2x

Actuals from Screener.in (Consolidated). FY26E/FY27E are Research Desk estimates. EPS estimates assume 3.8 Cr weighted avg. shares.

Balance Sheet — Consolidated (Rs. Crores)

Rs. Crores	FY23	FY24	FY25
Equity Capital	29	38	38
Reserves	372	521	573
Total Equity	**401**	**559**	**611**
Borrowings	106	58	98
Other Liabilities	140	162	177
Total Liabilities	**647**	**779**	**886**
Fixed Assets	219	265	311
CWIP	8	17	32
Other Assets	420	496	544
Total Assets	**647**	**779**	**886**

Cash Flow Statement — Consolidated (Rs. Crores)

Rs. Crores	FY23	FY24	FY25
Cash from Operations (OCF)	28	76	65
Cash from Investing	-3	-115	-63
Cash from Financing	-4	23	37
Net Cash Flow	20	-16	39
Free Cash Flow	**-1**	**7**	**-11**
CFO / Operating Profit %	53%	122%	159%

Key Ratios — Consolidated

Metric	FY23	FY24	FY25
ROCE %	10%	5%	5.43%
ROE %	~14%	~8%	3.87%
Debtor Days	77	68	68
Inventory Days	218	219	195
Days Payable	117	99	98
Cash Conversion Cycle	178	189	165
Debt / Equity	0.26x	0.10x	0.15x
Interest Coverage	10.2x	10.2x	17.5x

Commentary: Revenue grew at 15% CAGR (FY22-FY25) but EBITDA margins contracted sharply from 16% (FY22) to 7% (FY25) due to HPDC losses and integration costs. FY26 shows a dramatic inflection — consolidated EBITDA margins expanded to 17% by Q3 FY26, with management guiding Rs. 115-120 Cr for the full year. This recovery is driven by EEI operating leverage (revenue +14% YoY, margins above 26%) and HPDC EBITDA turning positive. Working capital efficiency is improving — CCC declined from 189 days (FY24) to 165 days (FY25) as inventory normalised. FCF was negative in FY25 due to heavy Nashik capex; with the buildout nearing completion, FY27 should see significant FCF improvement. The balance sheet remains conservatively leveraged with D/E of 0.15x and interest coverage of 17.5x, providing ample headroom for further investment without stress.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation	Rating
Revenue Recognition	Standard	Product-based revenue with no complex long-term contract accounting. Clean and straightforward.	GREEN
Receivables vs Revenue	OK	Debtor days stable at 68 days (FY24-FY25). Revenue growing faster than receivables.	GREEN
CCC Trend	Improving	CCC improved from 189 (FY24) to 165 (FY25). Inventory days declining (219 to 195).	GREEN
Contingent Liabilities	Low	Contingent liabilities Rs. 7.19 Cr — very low relative to Rs. 886 Cr balance sheet size.	GREEN
Auditor / Rating	Clean	CRISIL affirmed BBB+/Stable, A2 (April 2026). No qualification or adverse observations.	GREEN
RPTs as % Revenue	Moderate	Family-owned structure. RPTs disclosed per SEBI norms. No abnormal intra-group transactions flagged.	AMBER
Other Income / PBT	Watch	Other inc. Rs.14 Cr on PBT Rs.30 Cr (FY25) = 47%. Inflated by depressed PBT. Normalises at Rs.95-100 Cr PBT.	AMBER
Tax Rate Consistency	Volatile	Tax rate: 18% (FY23), 22% (FY24), 30% (FY25). One Q showed -128% (deferred tax). Track FY26 normalisation.	AMBER
OCF / EBITDA Quality	Strong	OCF/OP: 159% (FY25), 122% (FY24), 53% (FY23). High average cash conversion quality.	GREEN

Summary: Earnings quality is broadly good. OCF/EBITDA consistently strong (122-159% in FY24-FY25). Receivables are stable and contingent liabilities negligible. The amber flags — elevated other income ratio (transitory due to depressed PBT), volatile tax rates, and family RPTs — are not unusual for this company profile and do not suggest manipulation. Investors should track tax rate normalisation in FY26E and quarterly HPDC EBITDA disclosures.

SECTION 8 — VALUATION

Methodology: We use two methods — DCF and P/E Multiple — and average them for the base-case 12-month price target.

Method 1 — DCF: FY26E PAT of Rs. 70 Cr growing at 25% CAGR for 5 years (FY27-FY31), reflecting EEI structural growth plus HPDC recovery, then 10% terminal growth, WACC of 12%, and terminal multiple of 20x. DCF value per share: approximately Rs. 575-590. Key assumptions: EEI margin remains 24-26% through the period; HPDC reaches 8-10% EBITDA by FY28; Nashik capacity monetised from H2 FY27.

Method 2 — P/E Multiple: On FY27E EPS of Rs. 23.68 (estimate), a target P/E of 25x (slight premium to peer median of 23-25x, justified by EEI's 25%+ margins and global diversification vs. peers' domestic-only exposure) implies a price target of Rs. 592. The stock currently trades at 21.2x FY27E — meaningful discount to peers HPL Electric (24.4x TTM) and Salzer Electronics (23.6x TTM) despite far superior balance sheet quality (D/E 0.15x vs. 0.78-0.92x for peers).

Base-Case 12M Price Target: Rs. 600 (average of DCF ~Rs. 582 and P/E multiple ~Rs. 592). Upside: ~20% from CMP Rs. 502.

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT	Multiple	Target (Rs.)	Upside
BULL	EEI grows 25%, HPDC achieves 12% EBITDA, Nashik on time	Rs. 105 Cr	30x	830	+65%
BASE	EEI grows 20%, HPDC breakeven, capacity H2 FY27	Rs. 90 Cr	25x	600	+20%
BEAR	European slowdown, EEI margin drops to 18%, capex delayed	Rs. 55 Cr	18x	380	-24%

Peer Valuation Comparison (Screener.in, 07-May-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E TTM	EV/EBITDA	P/B	ROCE %	D/E
Rishabh Instruments	**502**	**1,931**	**28.4**	**14.3**	**2.81**	**5.43**	**0.15**
Genus Power	332	10,102	18.6	12.4	5.30	19.2	0.92
HPL Electric	384	2,470	24.4	11.1	2.59	14.5	0.78
Salzer Electronics	700	1,247	23.6	11.5	2.17	13.4	0.84

RISHABH P/E elevated due to FY25 trough earnings. On FY26E/FY27E, trades at a meaningful discount to peers despite best-in-class balance sheet.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor via
European Industrial Slowdown	HPDC segment (Lumel Alucast) is EU-focused. German/Polish industrial slowdown or automotive OEM cuts could prolong HPDC losses beyond FY26 guidance.	MEDIUM	HIGH	HPDC quarterly EBITDA, EU PMI data, EUR/INR rate.
Raw Material Cost Inflation	EEI uses copper, aluminium, and electronic components. A commodity price surge could compress the 26%+ EEI margins, impacting the core thesis.	MEDIUM	MEDIUM	Quarterly OPM%, copper LME prices, management RM cost commentary.
Nashik Capex Execution Risk	New buildings critical for FY27 growth. Any delay beyond H2 FY27 or lower-than-expected utilisation ramp would push revenue acceleration to FY28+.	LOW-MED	MEDIUM	Q1 FY27 operational update on construction progress.
Key-Person / Promoter Risk	Mr. Narendra Goliya is founding entrepreneur with deep European and global distribution relationships. Succession planning is not publicly disclosed.	LOW	HIGH	Board composition, annual report management structure, succession signals.
Currency Risk (EUR/PLN vs INR)	HPDC and EEI export revenues are EUR-denominated. INR appreciation reduces reportable revenue and margins without underlying operational change.	MEDIUM	MEDIUM	Foreign currency disclosures, hedging policy updates.
Competition — Chinese Imports	Standard analog meters and basic protection relays face Chinese competition at 30-40% price discounts. Market share loss in commoditised EEI could slow growth.	MEDIUM	MEDIUM	Revenue mix shift disclosures, dealer pricing commentary.
HPDC Turnaround Failure	If non-automotive customer pivot fails, HPDC could remain EBITDA-negative through FY27, dragging group EBITDA to Rs. 90-95 Cr vs. Rs. 115-120 Cr guided.	LOW	HIGH	HPDC EBITDA per quarter, new non-auto customer additions.

SECTION 10 — RECOMMENDATION

ACCUMULATE | 12M Target: Rs. 600 | Upside: ~20% | Horizon: 12 Months

Conviction Level: HIGH. The earnings recovery from HPDC turning positive and EEI operating leverage is already clearly visible in Q3 FY26 results (PAT +161% YoY). At CMP Rs. 502, investors are buying a high-quality globally diversified instruments franchise at 21.2x forward FY27E earnings during a trough-to-recovery inflection — a classic risk/reward skew that favours accumulation. The superior balance sheet (D/E 0.15x vs. peers at 0.78-0.92x) and zero pledge provide significant downside protection. Entry zone: **Rs. 470-530.** Rating moves to HOLD if stock crosses Rs. 550 before Q4 FY26 results confirm the EBITDA trajectory.

#	Thesis Invalidation Trigger	Action
1	HPDC adjusted EBITDA turns negative again for 2+ consecutive quarters.	Downgrade to REDUCE immediately.
2	Consolidated EBITDA margin falls below 12% for 2+ quarters without one-time explanation.	Reassess target; likely HOLD.
3	Promoter pledging or significant share sale (>2% block) without disclosed strategic rationale.	Exit and re-evaluate governance.

Ideal Investor Profile: Institutional and HNI investors with a 12-18 month horizon, comfortable with mid-cap liquidity (avg. daily vol ~2,440 shares), seeking exposure to India's industrial capex supercycle and European instruments market recovery.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (December 2025 Quarter)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	STRONG	PAT +161% YoY; EBITDA +119.5% YoY; margins at 17.1% — decisive beat.
Management Tone	BULLISH	Confident on FY26 EBITDA guidance (Rs. 115-120 Cr). No hedging on recovery narrative.
Guidance Delta	RAISED	9M adj. EBITDA Rs. 100.9 Cr exceeds original full-year guidance. Effectively raised.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The Q3 FY26 result is clean — PAT of Rs. 20.5 Cr (+161% YoY) and EBITDA of Rs. 31.4 Cr (+119% YoY) represent genuine operational improvement with no exceptional distortions. EBITDA margins hit 17.1%, recovering from the 3-8% trough of FY25, driven by two structural changes: (1) EEI segment running at 26.6% adjusted EBITDA margin — a multi-bagger quality business if it sustains this; and (2) HPDC EBITDA turning positive in 9M FY26 (Rs. 6.4 Cr vs. a loss of Rs. 15.1 Cr prior year), the clearest sign the automotive exit strategy is working. Management has pre-achieved their full-year EBITDA guidance in 9 months — this is the kind of underpromise-and-overdeliver credibility that re-rates stocks. Near-term catalyst: Q4 FY26 results (May 2026) confirming Rs. 115 Cr+ annual EBITDA run-rate will trigger institutional buying interest in a stock currently off most analysts' radars. Biggest watch-point: European macro weakness and Lumel Alucast's ability to genuinely replace lost automotive contracts with industrial customers by FY27 — without this, HPDC remains a drag and the consolidated margin story is only half-written. My call: ACCUMULATE below Rs. 530 — trough-to-recovery trade with multi-bagger characteristics if you hold 24-36 months. Target Rs. 600 in 12 months.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q3 FY26 (Dec 2025)

Metric	Q3 FY26	Q3 FY25	YoY %	QoQ %	Q2 FY26	Verdict
Revenue (Rs. Cr)	183.6	181.2	+1.3%	+1.0%	182	IN-LINE
EBITDA (Rs. Cr)	31.4	14.3	+119.5%	+124%	14.0	BEAT
EBITDA Margin	17.1%	7.9%	+920 bps	+920 bps	7.8%	BEAT
PAT (Rs. Cr)	20.5	7.8	+161.5%	+143%	8.4	BEAT
PAT Margin	11.2%	4.3%	+684 bps	+684 bps	4.6%	BEAT
EPS (Rs.)	5.19	2.00	+159.5%	—	1.64	BEAT

2. SEGMENT BREAKDOWN

Segment	Q3 FY26 Rev.	YoY %	9M FY26 Rev.	YoY (9M)	Commentary
EEI (Instrumentation & Control)	~Rs. 125 Cr	+17.7%	Rs. 390.7 Cr	+14.0%	Strong. Adj. EBITDA margin 26.6% in Q3. New product launches + export expansion driving growth.
HPDC (Lumel Alucast)	~Rs. 58 Cr	-29.1%	Rs. 179.6 Cr	-5.5%	Planned decline. 9M EBITDA turned +Rs. 6.4 Cr vs. -Rs. 15.1 Cr prior year. Automotive exit strategy on track.

3. MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
EBITDA Guidance	"Already achieved FY26 adj. EBITDA target in 9M. Confident of Rs. 115-120 Cr for full year."	Strong signal. Q4 could overshoot guidance.	[GUIDANCE]	Transparent
EEI Margins	"EEI adj. EBITDA margin at 26.6% in Q3, above our 25% benchmark. Product mix the key driver."	Core thesis engine performing well. Sustainable if product mix holds.	[GUIDANCE]	Bullish
HPDC Turnaround	"Deliberate exit of loss-making auto contracts. 9M EBITDA +Rs. 6.4 Cr. Double-digit margins by FY28."	Disciplined execution. FY28 timeline — patience required.	[GUIDANCE]	Transparent

Nashik Capacity	"Two new buildings nearing completion. Operational H2 FY27. Doubles EEI production capacity."	6-month delay vs. earlier guidance — minor but watch execution.	[GUIDANCE]	Balanced
Solar Business	"Solar now profitable. UNO and NEO RADIUS inverters launched. Target Rs. 100 Cr in 3-4 years."	Small but growing optionality. Not in base case numbers.	[EST]	Bullish
Lumel SA Win	"Lumel SA secured EUR 3 mn order from German energy company through end-2027."	Validates EU franchise. Good momentum for HPDC segment.	[GUIDANCE]	Transparent
Policy Tailwinds	"India-EU FTA, India-US Trade Arrangement, ISM 2.0 to strengthen manufacturing and exports."	Macro tailwind. Not in current numbers but directionally positive.	[EST]	Bullish

4. OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend / Commentary
Installed Capacity (mn units/yr)	38.5	38.5	35.5	Stable. Nashik expansion will double by H2 FY27.
Capacity Utilisation %	~56%	~56%	~56%	Flat at 56%. New capacity critical for revenue step-up in FY27.
Global R&D; Centres	5	5	3	Expanded from 3 to 5 — positive for product pipeline and IP moat.
Countries Served	100+	100+	100+	Stable global footprint.
EEI Adj. EBITDA Margin	26.6%	~20%	~10%	Strong trajectory. Core thesis validated sequentially.
HPDC Adj. EBITDA (9M)	+Rs. 6.4 Cr	—	-Rs. 15.1 Cr	Turned positive — pivotal turnaround marker.

5. MARGIN DRIVERS — Q3 FY26

Driver	Impact (est.)	Recurring?	Comment
EEI product mix (premium products growing faster)	+~350 bps	YES	Higher-margin protection relays, SCADA, energy analysers growing faster than base meters.
HPDC loss elimination (auto contract exits)	+~400 bps	YES	Structural improvement as low-margin auto contracts exit the consolidated P&L.;
Operational efficiencies / cost optimisation	+~150 bps	YES	Better RM sourcing, lean operations, enhanced operational discipline.
Favourable base effect (FY25 was a trough)	+~100 bps	PARTIAL	Part of improvement is normalisation from an unusually poor FY25. Not fully sustainable.
FX / translation effect	Nominal	NO	EUR/INR movements provide occasional tailwinds/headwinds on translation.

6. GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26 Adj. EBITDA	[GUIDANCE] ~Rs. 100-110 Cr for FY26 (given at start of year).	[GUIDANCE] Rs. 115-120 Cr — raised (9M already Rs. 100.9 Cr achieved).	RAISED	HIGH
EEI Revenue Growth	[GUIDANCE] 15-20% top-line growth by FY26 year-end.	[GUIDANCE] Maintained. Q3 FY26 delivered +17.7% — tracking upper end.	MAINTAINED	HIGH
HPDC Recovery	[GUIDANCE] Double-digit EBITDA margins and revenue recovery by FY28.	[GUIDANCE] Reiterated. 9M EBITDA turned positive — on track for FY27/FY28.	MAINTAINED	MEDIUM
Nashik Capacity	[GUIDANCE] Operational H1 FY27 (earlier guidance).	[GUIDANCE] Revised to H2 FY27 — 6-month delay noted by management.	MINOR DELAY	MEDIUM
Solar Business	[EST] Rs. 100 Cr in 3-4 years.	[EST] Reiterated. UNO and NEO RADIUS launches as step 1.	MAINTAINED	LOW-MED

7. CAPITAL ALLOCATION

Item	Amount (Rs. Cr)	vs. Prior Year	Comment
Capex (FY25)	Rs. 63 Cr (investing outflow)	FY24: Rs. 115 Cr (peak)	Nashik expansion nearing completion. FY26/FY27 capex should normalise lower.
Dividends	Nil	Nil (0% payout historically)	Zero dividend policy. Reinvestment in growth over shareholder distribution.
Buybacks	None	None	No buyback program. Promoter at 69.55% — unlikely near term.
Working Capital Change	Improving	CCC 165 vs. 189 days (FY24)	Inventory days declined (195 vs. 219). Receivables stable. Positive trend.

Item	Amount (Rs. Cr)	vs. Prior Year	Comment
Net Debt Movement (FY25)	Borrowings rose to Rs. 98 Cr	From Rs. 58 Cr (FY24)	Rs. 40 Cr increase to fund Nashik. Still low D/E 0.15x. Fully manageable.
CRISIL Rating	BBB+/Stable, A2	Affirmed April 2026	Investment grade — confirms financial creditworthiness and discipline.

8. Q&A; HEAT MAP

#	Question	Management Answer	Tone
1	HPDC margin outlook and non-auto customer acquisition timeline?	Non-auto customers gaining share. EBITDA turned positive. Double-digit margin target by FY28 reiterated.	Transparent
2	Can EEI margins sustain 25%+ as new products scale?	Yes — product mix shift to protection relays, energy analysers, SCADA (higher margin) is structural, not cyclical.	Bullish
3	Reason for Nashik capacity delay to H2 FY27?	Multi-storied construction complexity. Not a funding or capex issue. Purely operational execution timing.	Transparent
4	When does the solar business become material?	Not material now but now profitable. Targeting Rs. 100 Cr in 3-4 years with UNO/NEO RADIUS range.	Balanced
5	How is the company managing EUR/INR currency risk?	Hedging policy in place. Current EUR/INR levels are manageable for Lumel operations.	Hedged
6	Any plans to initiate dividends given cash generation?	Reinvestment strategy preferred — capacity expansion and R&D; are priority uses of capital for now.	Balanced

Dodged Questions: (1) Specific non-auto HPDC customer names or contract values. (2) Q4 FY26 specific EBITDA number — management avoided committing to a quarterly figure.

9. RISKS FLAGGED ON CALL

Risk	Flagged By	Probability	Impact	Timeline
European industrial/automotive slowdown	Analyst	Medium	High	FY26-FY27
Nashik capacity ramp slower than expected	Mgmt + Analyst	Low	Medium	H2 FY27
Raw material / FX cost inflation	Analyst	Medium	Medium	Ongoing
HPDC new customer acquisition risk	Analyst	Low-Medium	High	FY27-FY28
Solar inverter competitive pressure (China)	Analyst	Medium	Low-Med	FY27+

10. ANALYST VERDICT — MULTI-BAGGER SCORECARD

Factor	Assessment	Comment
Revenue Visibility	INTACT	EEI order pipeline strong; Lumel EUR 3mn win; 15-20% EEI growth guidance maintained.
Margin Trajectory	INTACT	17.1% consolidated in Q3; EEI at 26.6%; HPDC EBITDA-positive. Clear upward trajectory.
Capital Allocation Quality	INTACT	Zero pledge; 0.15x D/E; BBB+/Stable; zero dividend (reinvestment preferred). Disciplined.
Competitive Moat	INTACT (AMBER)	Moderate — strong in analog meters globally; building IP in SCADA/protection relays.
Management Credibility	INTACT	HPDC pivot delivering. EBITDA guidance beaten. Transparent on minor delays.
Valuation Comfort	INTACT	21.2x FY27E vs. peers 23-25x. Superior balance sheet discount unjustified.

Conviction Change	Target P/E	FY27E EPS (E)	12M Target	vs. CMP Rs. 502
INCREASED (vs. prior)	**25x**	**Rs. 23.68**	**Rs. 600**	**+19.5%**

Metric	Current	5Y Avg. (approx.)	Comment
P/E (TTM)	28.4x	~22x	Elevated due to FY25 trough PAT; on FY26E normalises to 27x.
EV/EBITDA	14.3x	~10-12x	Premium to historical; justified by strong margin recovery trajectory.
ROCE	5.43%	~12-14%	Below historical avg. FY26-FY27 should see significant normalisation.

Source: Screener.in | Ticker: RISHABH | View: Consolidated | Transcript: Listed on Screener but PDF inaccessible; qualitative data from company investor presentation, BSE filings, and financial news sources | Concall Date: 06-Feb-2026